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and assumes the risk arising from price, spoilage of goods, and changes in demand.

f. **Grading Packing and Packaging:** Wholesaler classifies the goods into different categories. He grades the goods on the basis of quality, size and weight etc. He also undertakes packaging of goods and also performs the function of branding.

g. **Providing Information:** Wholesalers provide valuable information to retailers and producers. The retailers are informed about the quality and type of products available in the market for sale. The producers are informed about the changes in taste and fashions of consumers by wholesalers so that they may produce the goods on the basis of tastes and preferences of customers.

h. **Transportation:** A wholesaler arranges for the transport of goods from producers to his warehouse and from the warehouse to retailer. Many wholesalers maintain their own trucks, carry goods in bulk and add place utility to the goods.

C. Services of a Wholesaler

A wholesaler provides valuable services to manufacturers, producers, retailers and customers.

Services to Producers or Manufacturers

1. **Economies in Large Scale:** A wholesaler buys goods in bulk and, thereby, enables the producers to produce goods on a large scale. Large scale production helps to reduce the cost of production per unit.

2. **Assistance in Distribution:** Wholesalers collect orders from a large number of retailers scattered over a wide area and buy goods in bulk from producers. He enables producers to reach customers scattered over different parts of the country by distributing goods through retailers located in different areas. Therefore producer can concentrate only on production.

3. **Warehousing Facility:** A wholesaler holds large stock of goods in his private warehouse or in a rented warehouse. In this way he relieves the manufacturer from the function of warehousing.

4. **Forecasting of Demand:** A wholesaler collects information from retailers about the nature and extent of demand and passes it onto the producers and enables them to produce goods according to the needs, tastes and fashions prevailing in the market.

5. **Publicity of Goods:** Often wholesalers launch advertising campaign to boost the demand for the goods. Producers get the benefit of such publicity and thus enabled to spend less on advertising.

6. **Financial Assistance:** A wholesaler often makes advance payments to producers. He buys the goods as soon as they are produced. Producers need not lock up their capital in maintaining huge stock of goods.

7. **Risk-bearer:** A wholesaler provides ready market to producers by placing advance orders and relieves the manufacturer from the risk of loss due to fluctuation in demand and storage of goods. He also reduces the risk by matching seasonal demand.